Gaming

Dr. Frankenstein's Boardwalk

In this note we preview of upcoming results for Aristocrat and Light & Wonder (LNW), as well as provide an update on various industry datasets.

Aristocrat (Positive recommendation, $73.46/sh valuation)

Wednesday 12th November (Link)

We are broadly in-line with consensus and see limited downside risk for Aristocrat's upcoming result next week. Aristocrat's FY25 has been anchored by the dominance of key franchises such as Phoenix Link in premium lease as well as Spooky Link & Mo Mummy on the Baron cabinet in Core. This has made their performance easier to track relative to prior years when a broader product mix was driving share.

Feedback from G2E was reasonably positive for Aristocrat, and they were generally deemed the strongest vendor. Aristocrat expanded on their existing franchises well and the Baron cabinet appears to have plenty more runway with the portfolio of available games. We also observed that there was nothing new that "wowed" casino floor managers, implying that Dragon Link is likely to retain its crown as the industry's dominant game.

Light & Wonder (Positive recommendation, $163/sh valuation)

Thursday 6th November (Link)

We are also broadly in-line with consensus numbers for LNW but see a much wider range of outcomes at the result. This is not just for the 3Q25 numbers, but also for the implications on the current FY25 AEBITDA guidance. Reaching guidance will require a strong 4Q, particularly from international outright sales, which tend to be lumpy. Hence, the commentary from management will be just as important as the 3Q numbers.

Feedback from G2E was also positive for LNW. Most attendees rated them a close #2 to Aristocrat, with the gap closing every year. They were also viewed favorably for taking a greater number of risks than Aristocrat.

We have also reviewed the ongoing Dragon Train litigation. We believe the recent judge's ruling over game math and the other ongoing disputes have increased the downside risk for LNW. As such, we have factored in a higher fine and increased our cost of equity. Excluding the litigation, our current long-term forecasts remain ahead of consensus. This reflects the strong industry feedback we continue to receive.

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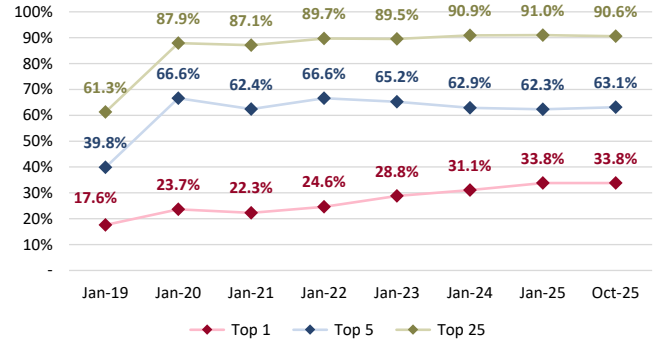
Our Forecasts vs Consensus (pg. 24)

Key Franchises Performance

We have previously written about how the premium lease market share is becoming more concentrated among fewer and fewer franchises. Part of this is the incredible success of Dragon Link, but it also looks like casinos have been gradually becoming less fearful of concentration and more focused on optimising slot spend.

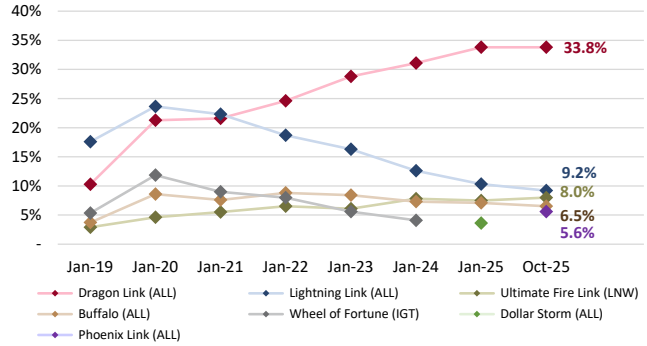
This concentration means that events around either actual or potential hit games are becoming increasingly important. Although both Aristocrat and LNW are portfolio companies with lots of studios putting out lots of quality games, net-adds to be anchored to a smaller number of franchises than ever before. In fact, from Jan-19 until Oct-24, the same five families were featured as the top-grossing franchises.

Exhibit 1 - Top Premium Lease & WAP Franchises based on Net Win - Market Fragmentation



Source: Eilers & Krejcik, E&P Estimates

Exhibit 2 - Top 5 Premium Lease & WAP Franchises based on Net Win

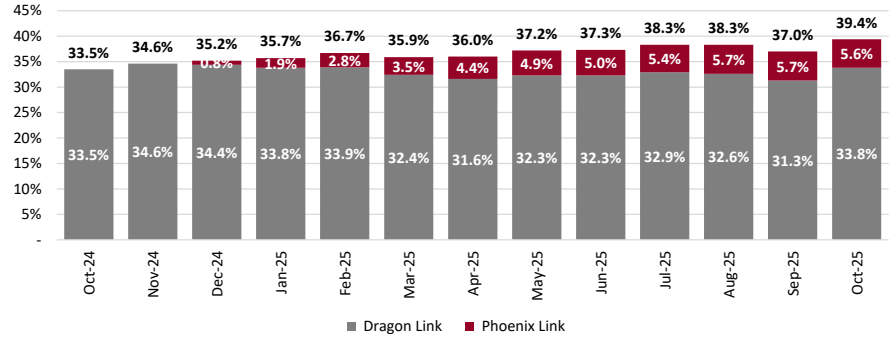


Source: Eilers & Krejcik, E&P Estimates

The latest franchise to crack the Top-5 was Phoenix Link. Its initial performance made many people in the industry think that Phoenix Link may become Aristocrat's next generational game. By its second month however, it became apparent based on game performance that Phoenix Link was a strong game, but it would not take Dragon Link's crown.

The other main question was how incremental Phoenix Link would be for Aristocrat. Below we have looked at the cumulative performance of the Dragon Link and Phoenix Link franchises. While there may be some cannibalisation, Phoenix Link appears to have been incrementally positive for Aristocrat. However, it does look like Phoenix Link may be slowing down. We note that the Eilers reports appear to have had some sample size differences, particularly in September, which may skew the incremental monthly data.

Exhibit 3 - Dragon Link & Phoenix Link - % of Theo Win - Premium Lease & WAP

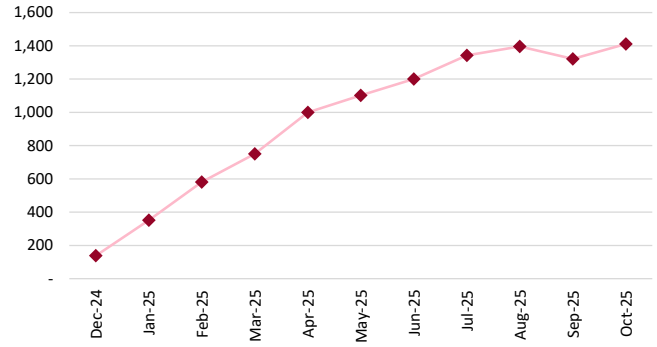


Source: Eilers & Krejcik, E&P Estimates

Although the growth in the install base of Phoenix Link appears to have slowed, we are hesitant to jump to an early conclusion that it has reached full scale. This is because it remains the 2nd best performer of all games with >800 units on the latest Eilers game performance report.

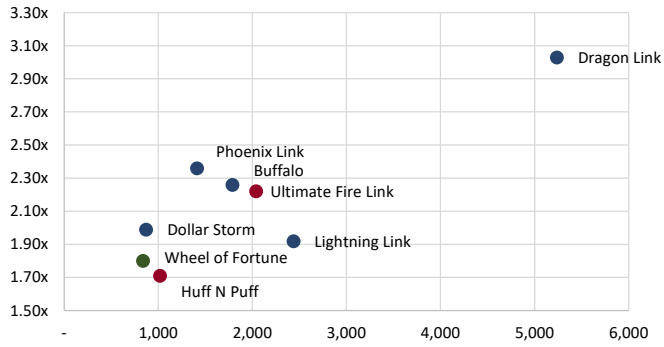
As far as we can tell, the main reason for casinos to not add more Phoenix Link would be if it is completely outclassed by Dragon Link. Whilst the games may have their similarities, our industry feedback has been that Phoenix Link does attract new customers which drives incremental revenue.

Exhibit 4 - Phoenix Link Units on Eilers Game Performance Report



Source: Eilers & Krejcik, E&P Estimates. Note: the figures should be used only as a guide as the survey does not represent entire population.

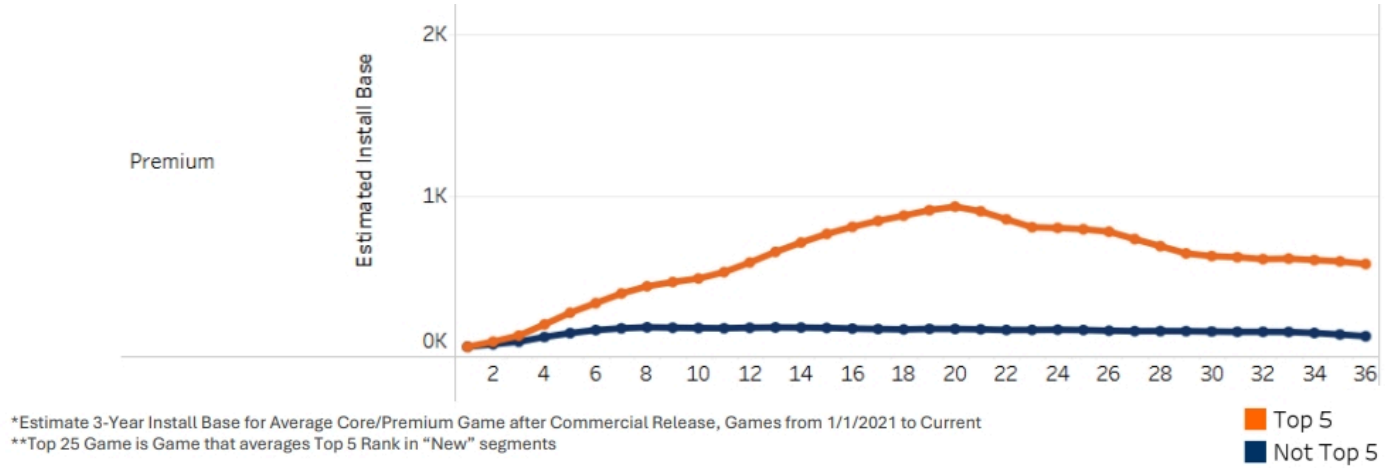
Top Premium Lease Franchises by Unit Count (x-axis) & Theo Win vs. Zone (y-axis)



Source: Eilers & Krejcik, E&P Estimates. Note: Unit count figures should be used only as a guide as the survey does not represent entire population.

The chart below shows that of the Top 5 Premium Lease franchises, peak scale is usually at around 20-months.

Exhibit 5 - 3-Year Install Base, Top 5 vs Non-Top 5 New Games



Source: Eilers & Krejcik

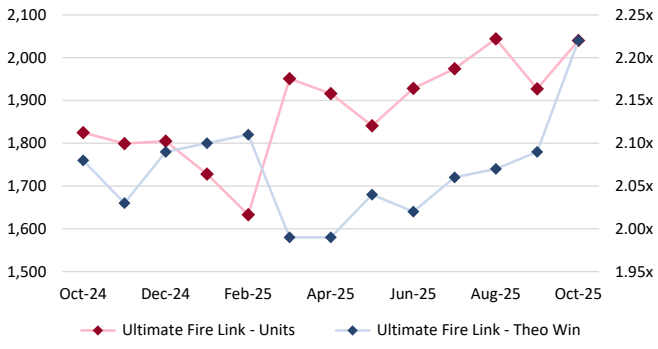
The other franchise we would like to highlight is Ultimate Fire Link (UFL). UFL has been a staple in the Top-5 premium lease franchises but was stagnating or slightly receding over the past 18-months. This was until the release of UFL Triple Nova, which has reinvigorated the franchise into growth mode. The games now have a decent enough sample size of 377 units (probably closer to 1,000 in true population) to suggest they are here to stay.

Exhibit 6 - Top Performing Ultimate Fire Link Slot Games

Game Ranking	Game Name	Days on Floor	Slots in Survey	Theo Win vs. Zone
9	Ultimate Fire Link Triple Nova - Paradise Lights	77	171	2.69x
7	Ultimate Fire Link Triple Nova - Desert Nights	86	206	2.85x
543	Ultimate Fire Link Power 4 Wheel	127	37	1.03x
196	Ultimate Fire Link Double Explosion	244	26	1.48x
186	Ultimate Fire Link Cash Falls - Olvera Street	297	71	1.52x
104	Ultimate Fire Link Explosion	300	39	1.79x
75	Ultimate Fire Link - By The Bay	464	355	1.91x
88	Ultimate Fire Link Cash Falls - China Street	502	92	1.85x
60	Ultimate Fire Link - Glacier Gold	512	384	2.00x
84	Ultimate Fire Link - Rue Royale	557	103	1.88x
35	Ultimate Fire Link - China Street	598	590	2.16x
61	Ultimate Fire Link - Country Lights	609	30	2.00x
76	Ultimate Fire Link - Route 66	611	126	1.91x
48	Ultimate Fire Link - Olvera Street	636	441	2.07x
87	Ultimate Fire Link - Forest Wild	702	29	1.86x
139	Ultimate Fire Link Power 4	715	44	1.66x
127	Ultimate Fire Link - North Shore	899	60	1.69x
102	Ultimate Fire Link - River Walk	907	33	1.79x

Source: Eilers & Krejcik, E&P Estimates

Exhibit 7 - Ultimate Fire Link - Units (LHS) & Theo Win (RHS)



Source: Eilers & Krejcik, E&P Estimates

Exhibit 8 - Ultimate Fire Link Triple Nova



Source: Light & Wonder

Exhibit 9 - Ultimate Fire Link Triple Nova



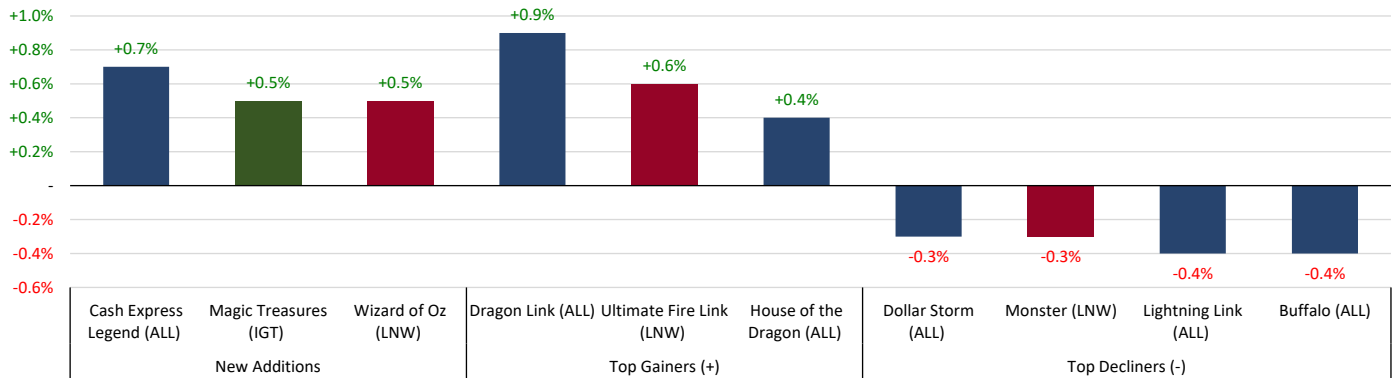
Source: Light & Wonder

Market Share Movements

Below, we demonstrate the premium lease franchises that have the biggest net increase in theoretical win, albeit we acknowledge there may be some potential sample bias error.

- Interestingly Dragon Link, was the leader between the Jul-25 & Oct-25 Eilers reports.
  - Dragon Link is a clear outlier as almost all other mature franchises are only able to achieve incremental win after launching an extension game (such as UFL Triple Nova)
- Although Phoenix Link gained + 5.6% over the past 12 months, it only gained +0.2% throughout the past 3 months.
- Each of the big three suppliers had one new addition to the top 25 franchises.

Exhibit 10 - 3 Month Net Change in % of Theo Win - Top Grossing Premium Lease & WAP Parent Games



Source: Eilers & Krejcik, E&P Estimates

Top New Games

Spooky Link remains the top new franchise that we are monitoring. In our last quarterly deep dive (Spooky Spins & Big Wins), our main takeaway was that the franchise had gone massively under the radar given it had launched as a Core Outright Sales game rather than a Premium Lease game.

- In the latest game performance report, Spooky Link was the 2nd top performing franchise at 2.55x Theo win vs. zone.
- There are no other core franchises in the top 15, with the next highest doing 1.63x Theo win vs. zone.
- The franchise that Spooky Link most resembles in scale and performance remains Phoenix Link.

At G2E, Aristocrat displayed Spooky Link Grand which will be an extension of the original game. We believe the extension will be switched to a Premium Lease only game. The recent precedent for this is the Huff n Puff franchise, which successfully pivoted its game sequels whilst simultaneously helping to manage the Dragon Train conversions.

Exhibit 11 - Top Indexing Overall Parent Games

Rank	Game	Supplier	Slots	TvZ	Category
1	Dragon Link	Aristocrat	5,240	3.03x	Premium
2	Spooky Link	Aristocrat	801	2.55x	Core
3	House of the Dragon	Aristocrat	288	2.48x	Premium
4	Kong Skull Island	Light & Wonder	366	2.43x	Premium
5	Phoenix Link	Aristocrat	1,412	2.36x	Premium
6	Ultimate Fire Link	Light & Wonder	2,859	2.08x	Premium
7	Dollar Storm	Aristocrat	922	1.99x	Premium
8	Lightning Dollar Link	Aristocrat	542	1.95x	Premium
9	Lightning Link	Aristocrat	2,437	1.92x	Premium
10	Cash Express Legend	Aristocrat	277	1.91x	Premium
11	Monster	Light & Wonder	314	1.84x	Premium
12	Money Gong	Igt	329	1.77x	Premium
13	Wheel of Fortune	Igt	982	1.68x	Premium
14	Tiger & Dragon	Igt	713	1.65x	Premium
15	Monopoly	Light & Wonder	1,029	1.63x	Premium
16	4 UP	Aristocrat	375	1.63x	Core
17	Railroad Riches	Sega Sammy	640	1.63x	Core
18	Mystery of the Lamp	Igt	723	1.58x	Premium
19	Ultimate Fast Cash	Aristocrat	319	1.54x	Core
20	Lion Link	Light & Wonder	1,356	1.53x	Mostly Core

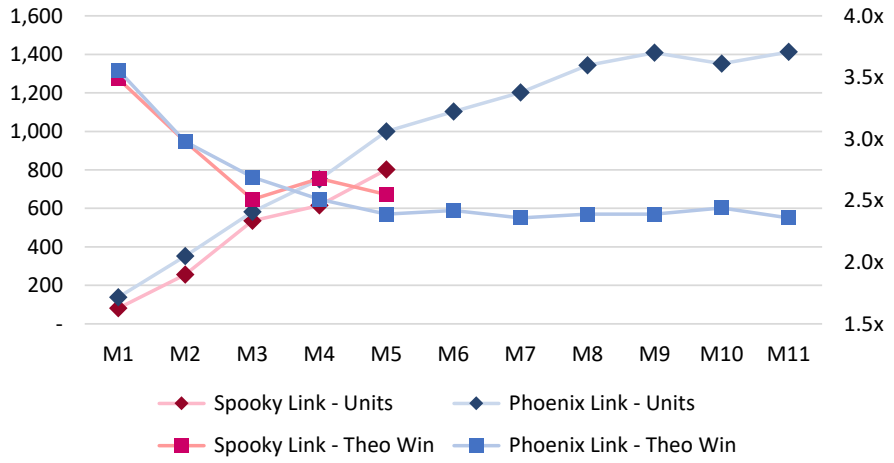
Source: Eilers & Krejcik, E&P Estimates. Notes: Eilers minimum is 264 slots in the survey.

Exhibit 12 - Aristocrats new Spooky Link Franchise



Source: Aristocrat

Exhibit 13 - Spooky Link vs Phoenix Link - Units (LHS) & Theo Win (RHS)



Source: Eilers & Krejcik, E&P Estimates

Below we detail some of the top new premium lease games that have come out recently. We find that most of the best games are often are showcased at G2E in early October (discussed in the next section), so we expect our next quarterly report to have a stronger list of games.

Small Sample Size

- Buffalo Mega Stampede (Aristocrat) - Premium game that builds on Buffalo Ultimate Stampede with expanding reels, and a three leveled bonus meter.
- Piggy Bankin - Break In (LNW) - An extension of the original game with more features and higher volatility. Available as an outright sale on the Cosmic Cabinet.
- Megabucks - Wolf Run Eclipse (IGT) - Combines the existing Megabucks & Wolf Run franchises.

Enough Sample Size to suggest they will Keep Growing (i.e. 3+ months)

- House of The Dragon (Aristocrat) - IP game based on the hit TV show. Aristocrat has an existing Game of Thrones slot portfolio that they launched in 2015.
- Cash Express Legend (Aristocrat) - A train-themed Hold n Spin game. It is an extension of the original Cash Express Luxury Line.
- Ultimate Fire Link Triple Nova (LNW) - Newest addition to LNW's top franchise with a new three-pot feature. Very strong performance and the first UFL extension for some time that has performed better than its predecessors.
- Huff n Even More Puff Grand (LNW) - WAP game that introduces a new Ultra Wheel. The highest performing Huff n Puff game.
- Wizard of Oz, I'll get you my Pretty (LNW) - IP game with WAP feature. The franchise quickly launched in iGaming with an exclusive BetMGM deal.
- Magic Treasures Gold (IGT) - Expanded the original base game from one to three money-ball pots. Was the game chosen to debut IGT's new RISE55 cabinet.

G2E Feedback

As mentioned above, many of the best games debut at G2E. We have spoken to multiple industry experts for their feedback which we summarise below:

Top Supplier

- We heard both Aristocrat & LNW as answers as the top supplier.
  - Overall though, Aristocrat appears to have held onto the crown. However, LNW has been closing the gap every year.
  - LNW were viewed as taking more risks, while Aristocrat focused on improving what already works.
- IGT/Everi were given credit for how quickly they came together & the cross compatibility of cabinets.
  - However, general feedback is that they were still well behind Aristocrat & LNW.
- All the smaller vendors have stepped up their game and appear to have increased their R&D budgets.

Top Content

- Monopoly (Aristocrat)
  - Probably the most hyped game. Was a big splash to take the licence of LNW.
  - Signage & Art looked great. Different feel to LNW's product.
  - Suprised the industry with how quickly the brought the game to market.
- Lightwave Cabinet / Frankenstein (LNW)
  - Incredibly immersive.
  - However, we had mixed feedback on whether casinos would get the game given it's likely to be a high cost WAP game.
- Lightning Link Extensions (Aristocrat)
  - 10-year anniversary of the franchise.
  - Will also go into iGaming soon.
- Piggy Bankin' (LNW)
  - Positive is supported by its initial performance in the latest Eilers Game Performance report.
- General portfolio of games on the Baron cabinet (Aristocrat)
  - Cabinet still has an enormous runway.

Trends

- Overall theme continues to be 'Evolution' not 'Revolution'.
  - Lots of extensions of existing families.
  - Vendors took known mechanics that worked and improved the art, sounds & signage.
  - Nothing that will change the industry or take the crown from Dragon Link.
- Lots of nested Hold n Spin (i.e. HnS ^2 - debuted in Dragon Train). ~80% of vendors had this feature.
- Casinos liked that not every manufacturer had a new cabinet.

Exhibit 14 - Aristocrat's New Monopoly Big Board Bucks



Source: Aristocrat

Exhibit 15 - LNW's New Lightwave Cabinet featuring Frankenstein Returns



Source: Light & Wonder

Most Anticipated Gaming Content

Those who gave feedback above acknowledged that the most hyped content does not always perform well. Below we show the most anticipated content for the last 4.5 years and what their current performance is:

- There are multiple top anticipated games that could be considered flops such as Dune, Big Fish Grand & NFL. Dragon Train is also no longer on the floors due to the injunction ruling.
- Despite launching in October last year, Phoenix Link continued to be the most anticipated game on future Slot Surveys.

Exhibit 16 - Most Anticipated Games on the Eilers Slot Survey

Top Anticipated Game				Actual Performance			
Quarter	Supplier	Game	% of Votes	Rank	Slots (Sample)	Theo Win vs Zone	Note
1Q21	Aristocrat	Buffalo Link	47%	27	713	2.30x	
2Q21	Aristocrat	Buffalo Link	26%	27	713	2.30x	
3Q21	Aristocrat	Dune	18%	NA	NA	NA	
4Q21	Aristocrat	Dune	21%	NA	NA	NA	
1Q22	Aristocrat	Big Fish Grand	13%	NA	NA	NA	
2Q22	Aristocrat	Lightning Dollar Link	16%	34-117	542	1.74x to 2.16x	< 4 Themes
3Q22	Aristocrat	Lightning Dollar Link	23%	34-117	542	1.74x to 2.16x	< 4 Themes
4Q22	Aristocrat	NFL	28%	158-309	122	1.23x to 1.61x	< 3 Themes
1Q23	Aristocrat	NFL	26%	158-309	122	1.23x to 1.61x	< 3 Themes
2Q23	Aristocrat	NFL	38%	158-309	122	1.23x to 1.61x	< 3 Themes
3Q23	Aristocrat	NFL Super Bowl Link	36%	NA	NA	NA	
4Q23	Aristocrat	NFL	28%	158-309	122	1.23x to 1.61x	< 3 Themes
1Q24	LNW	Dragon Train	36%	NA	NA	NA	
2Q24	LNW	Huff N Puff Money Mansion	21%	222	378	1.41x	
3Q24	Aristocrat	Phoenix Link	48%	14-44	1411	2.11x to 2.61x	< 4 Themes
4Q24	Aristocrat	Phoenix Link	31%	14-44	1411	2.11x to 2.61x	< 4 Themes
1Q25	Aristocrat	Phoenix Link	17%	14-44	1411	2.11x to 2.61x	< 4 Themes
2Q25	Aristocrat	Phoenix Link	18%	14-44	1411	2.11x to 2.61x	< 4 Themes

Source: Eilers & Krejcik, E&P Estimates

Although not always a home run, having the most anticipated content is still a strong sign of a robust R&D pipeline. Below we show the titles from the most recent survey. We note that we expect the 3Q25 Eilers slot survey to be released imminently.

Exhibit 17 - Most Anticipated Premium Leased Games by Supplier

			% of total Votes					
No.	Supplier	Game	2Q25	1Q25	4Q24	3Q24	2Q24	1Q24
1	Aristocrat	Phoenix Link	18%	17%	31%	48%	15%	
2	Aristocrat	Cash Express Legend Buffalo	10%					
3	LNW	Huff n Puff Franchise	7%	12%	5%	7%	21%	4%
4	Aristocrat	Phoenix & Dragon	6%					
5	IGT	Magic Treasures Gold	4%					
5	LNW	Lion Link	4%					
5	LNW	Rampage	4%	6%	5%	3%		
5	LNW	Dancing Drums Link	4%					

Source: Eilers & Krejcik, E&P Estimates

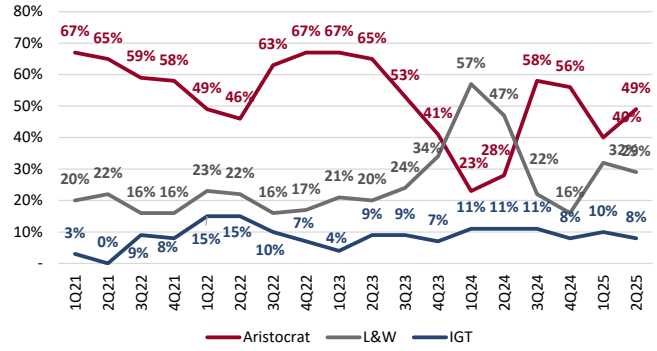
Below we chart the cumulative votes of these surveys over an extended time series.

- Interestingly, when LNW peaked in terms of cumulative survey votes, this was primarily driven by Dragon Train and Squid Game.

- Neither franchise has been a material contributor (at least by current footprint) to LNW's recent strong net adds.

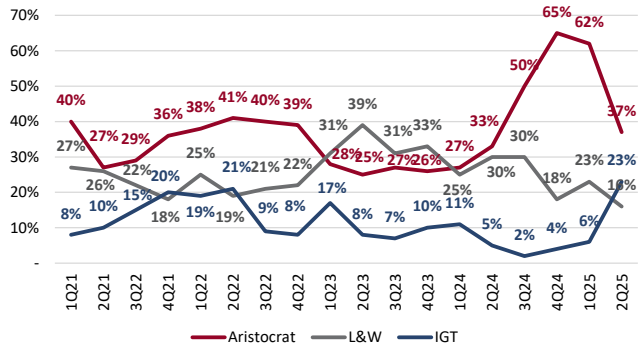
- Aristocrat has since regained top spot for the most cumulative votes for the last 4 quarters, primarily driven by Phoenix Link.
- LNW has shown a lot of consistency in having a large volume of depth on each survey.
- The Baron Portrait cabinet has been easily the most anticipated cabinet in our sample size.

Exhibit 18 - Eilers & Krejcik - Most Anticipated Premium Leased Games by Supplier



Source: Eilers & Krejcik, E&P Estimates. Note: Percentages are cumulative of all games from each supplier that received votes.

Exhibit 19 - Eilers & Krejcik - Most Anticipated Core Cabinets by Supplier



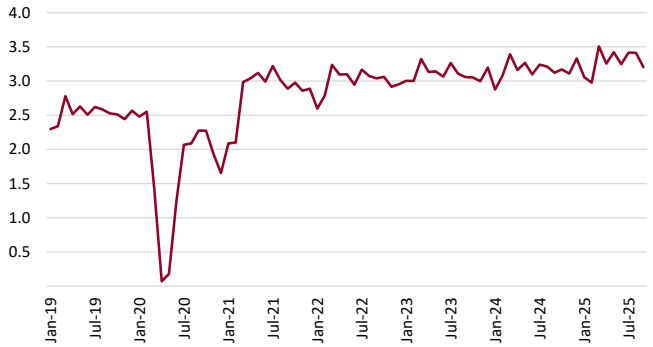
Source: Eilers & Krejcik, E&P Estimates. Note: Percentages are cumulative of all cabinets from each supplier that received votes.

Land-Based GGR Trends

US slot GGR remains robust overall despite various news of macro concerns

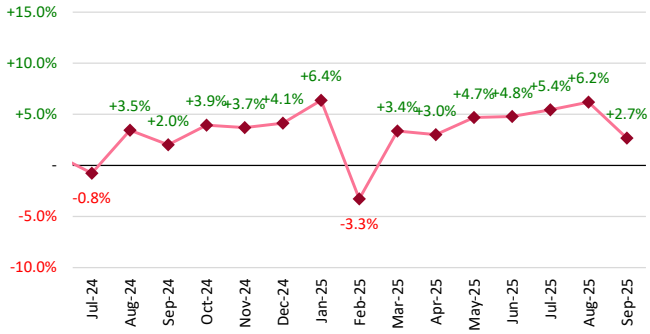
- September slot GGR grew +2.7% yoy.
  - This was softer growth than the previous six months.
  - However, Labor Day fell on the 1st of September this year (Monday), so we believe that the benefits of the weekend aided August at the expense of September.
  - 15/23 states saw positive growth.

Exhibit 20 - US Slot GGR (US$bn.)



Source: Source: UNLV, various state gaming bodies, E&P estimates.
Note: States include: CO, CT, DE, FL, GA, IL, IN, IA, KS, ME, MD, MA, MS, MO, NE, NV, NJ, NM, NY, PA, RI, SD, VA

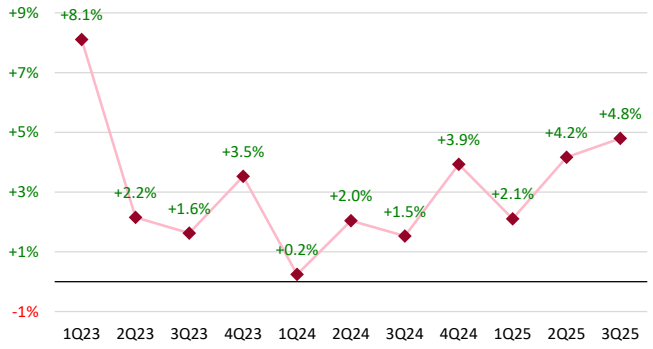
Exhibit 21 - US Slot GGR growth rate (YoY)



Source: Source: UNLV, various state gaming bodies, E&P estimates.
Note: States include: CO, CT, DE, FL, GA, IL, IN, IA, KS, ME, MD, MA, MS, MO, NE, NV, NJ, NM, NY, PA, RI, SD, VA

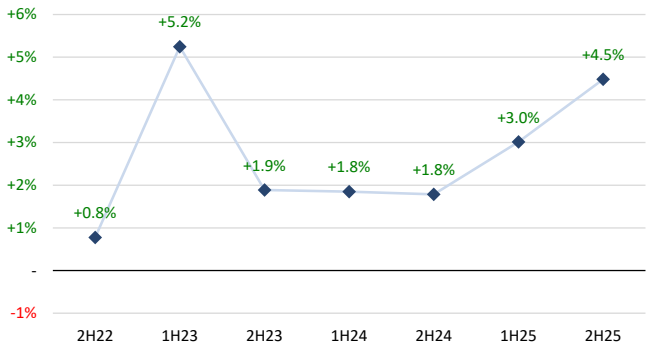
The cumulative slot GGR growth for LNW's/ALL's upcoming reporting periods was +4.8%/+4.5%.

Exhibit 22 - US Slot GGR - Quarterly YoY Growth



Source: Source: UNLV, various state gaming bodies, E&P estimates.
Note: States include: CO, CT, DE, FL, GA, IL, IN, IA, KS, ME, MD, MA, MS, MO, NE, NV, NJ, NM, NY, PA, RI, SD, VA

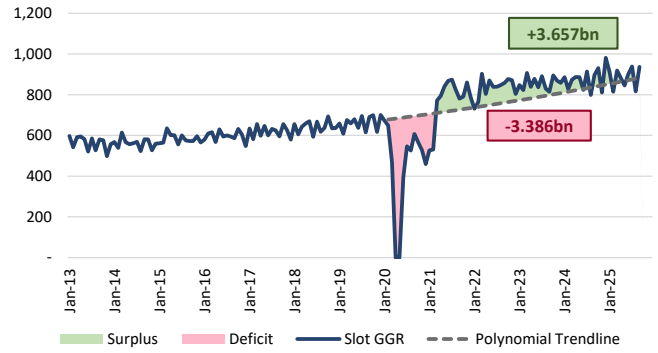
Exhibit 23 - US Slot GGR - 6month ending Mar/Sep YoY Growth



Source: Source: UNLV, various state gaming bodies, E&P estimates.
Note: States include: CO, CT, DE, FL, GA, IL, IN, IA, KS, ME, MD, MA, MS, MO, NE, NV, NJ, NM, NY, PA, RI, SD, VA

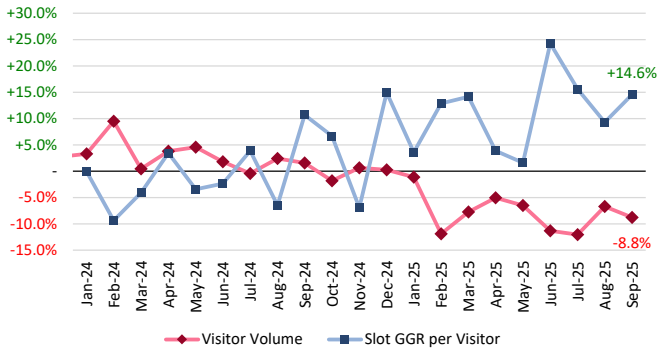
Nevada slot GGR is now in-line with the pre-COVID trendline. Specifically, Las Vegas slot GGR is seeing an exacerbated trend of weak visitor volumes offset by strong spend per visitor. In September, visitation was down -8.8% whilst spend per visitor was up +14.6%.

Exhibit 24 - Nevada Slot GGR (US$m) - Surplus/Deficit based on pre-covid Polynomial trendline



Source: UNLV, various state gaming bodies, E&P Estimates

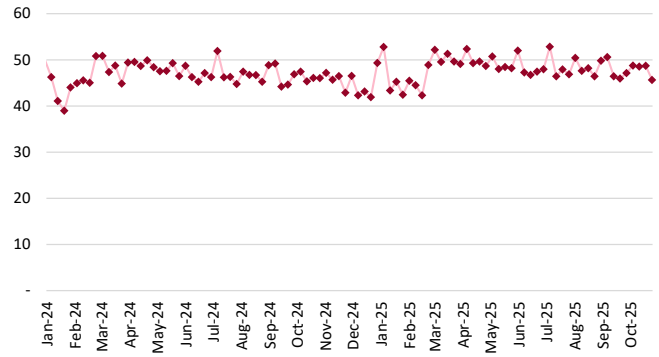
Exhibit 25 - Las Vegas Visitation and Slot GGR per Visitor (YoY)



Source: UNLV, various state gaming bodies,LVCVA, E&P Estimates.
Note: figures are for Clark County only

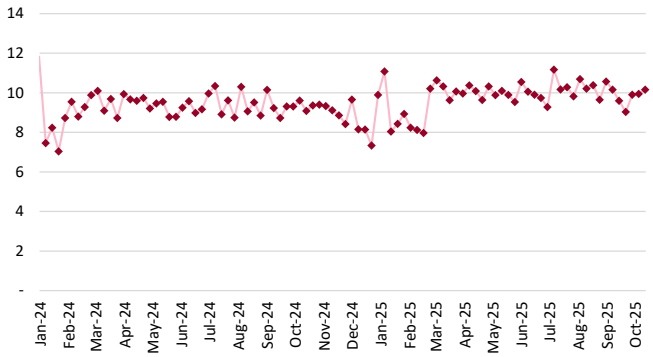
New York weekly VLT data appears to be on a very slight downward trend since March

Exhibit 26 - Weekly New York VLT GGR (US$m)



Source: Various state gaming bodies, E&P estimates.

Exhibit 27 - Weekly New York Casino Slot GGR (US$m)



Source: Various state gaming bodies, E&P estimates.

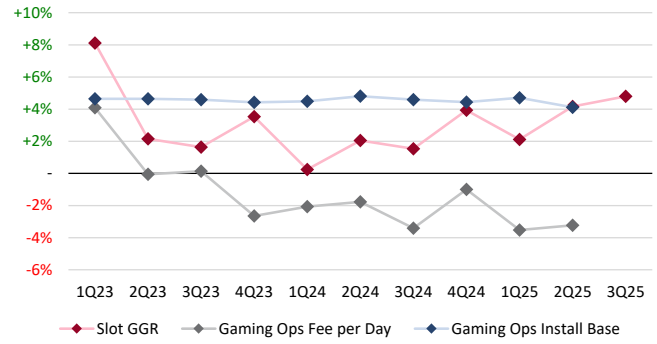
Market Data vs. Historical B2B Revenue

We estimate that our sample size of available market data above represents ~40% of the market. Our sample over-indexes on commercial casinos & under-indexes on tribal casinos given the different reporting requirements.

Below we compare our sample size of US slot GGR growth to the actual Gaming Ops revenue's earned by suppliers.

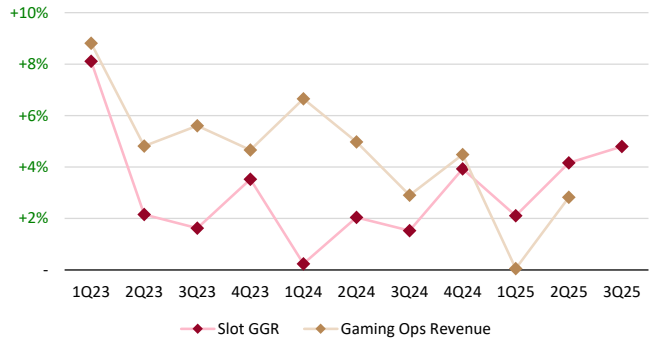
- Fee per day has moved generally in the same direction as slot GGR albeit at an inferior growth rate.
- The install base has had incredible consistent growth and does not appear to have the same short-term movements.
- When combined, B2B gaming ops revenue does appear to have some relationship with slot GGR.
  - It is interesting to see that every quarter from 1Q23-4Q24 had B2B gaming ops revenue that exceeded Slot GGR growth. However, the latest two quarters have seen inferior growth.

Exhibit 28 - US Slot GGR & Gaming Ops KPI's - Quarterly YoY Growth



Source: Source: UNLV, various state gaming bodies, Eilers & Krejcik, E&P estimates. Note: States include: CO, CT, DE, FL, GA, IL, IN, IA, KS, ME, MD, MA, MS, MO, NE, NV, NJ, NM, NY, PA, RI, SD, VA

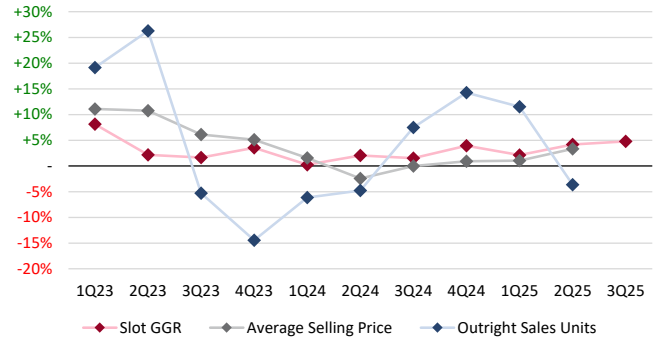
US Slot GGR & B2B Gaming Ops Revenue - Quarterly YoY Growth



Source: Source: UNLV, various state gaming bodies, Eilers & Krejcik, E&P estimates. Note: States include: CO, CT, DE, FL, GA, IL, IN, IA, KS, ME, MD, MA, MS, MO, NE, NV, NJ, NM, NY, PA, RI, SD, VA

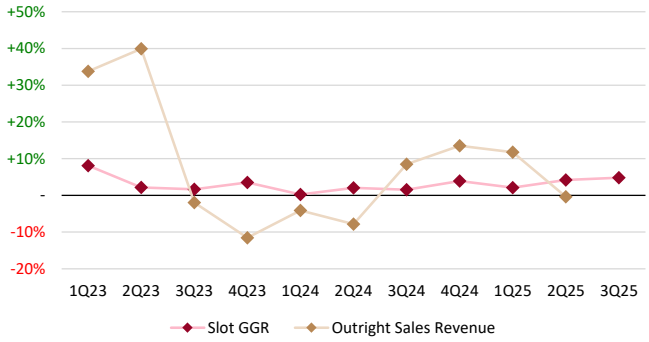
On the contrary, outright sales appears to have a much lower correlation to overall slot GGR (at least in the short-term) and appears highly cyclical.

Exhibit 29 - US Slot GGR & Outright Sales KPI's - Quarterly YoY Growth



Source: Source: UNLV, various state gaming bodies, Eilers & Krejcik, E&P estimates. Note: States include: CO, CT, DE, FL, GA, IL, IN, IA, KS, ME, MD, MA, MS, MO, NE, NV, NJ, NM, NY, PA, RI, SD, VA

Exhibit 30 - US Slot GGR & B2B Outright Sales Revenue - Quarterly YoY Growth

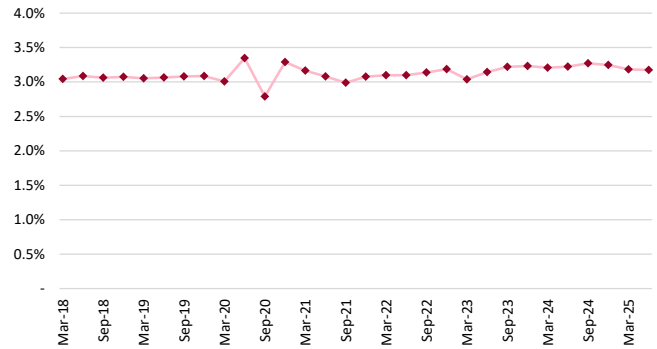


Source: Source: UNLV, various state gaming bodies, Eilers & Krejcik, E&P estimates. Note: States include: CO, CT, DE, FL, GA, IL, IN, IA, KS, ME, MD, MA, MS, MO, NE, NV, NJ, NM, NY, PA, RI, SD, VA

Below we have looked at a longer run perspective of the US B2B revenue share (entire US market):

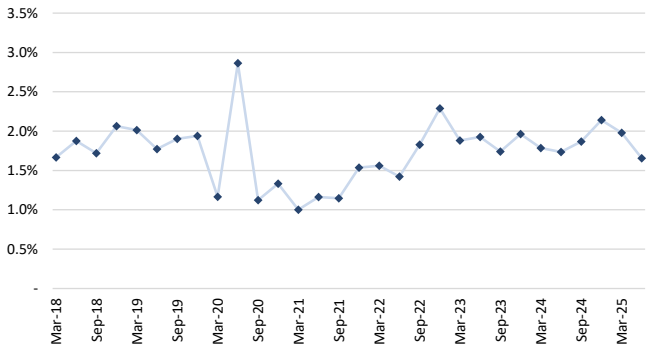
- Gaming Ops revenue has been very consistent at ~3.0% of US slot GGR.
- Outright Sales revenue has been more volatile but still generally been between 1.5% to 2.0% excluding the covid affected years.

Exhibit 31 - US B2B Gaming Ops Revenue as a % of US Slot GGR



Source: Eilers & Krejcik, E&P Estimates

Exhibit 32 - US B2B Outright Sales Revenue as a % of US Slot GGR



Source: Eilers & Krejcik, E&P Estimates

Land Based Read-Throughs

Boyd Gaming

Macro Trends:

- Continued strength in rated play. Further improvement in retail customers after an initial turnaround in 2Q.
- Regional trends continue to be much stronger than Las Vegas.
- Las Vegas Trends:
  - Softness from destination/out-of-town customers.
  - Reduced foot traffic & lower room rates.
  - Stronger forward 90-day booking patterns relative to the 2Q result.
  - Strong play from locals at non-Strip locations driven by +6% average wage inflation vs pcp.
- First 3 weeks of October have seen the same trends as 3Q.
- Noted the timing of national holidays boosted August at the expense of September (i.e. Labor Day weekend).

Tax Bill Changes:

- Positive overall but won't give specific numbers.

Tariffs:

- No mention despite lots of ongoing capex projects.

Churchill Downs

Macro Trends:

- Strength in high-end and rated guests. Increased spend and visitation from those on the database.
- Unrated trends improved both sequentially and vs. the prior year.

Tax Bill Changes:

- Expecting $50m/$60m cash savings from 2025/2026.

Slot Floor:

- Multi-state growth pipeline for Historical Horse Racing.
- Developing new HHR based ETG's for certain states that can't offer traditional table games. Will take both tech and regulatory steps.
- Virginia is in the process of shutting down illegal gaming machines but is facing some enforcement challenges.

Caesars

Macro Trends:

- Las Vegas:
  - Previously guided to a weak Vegas, particularly in July (no sugarcoating at their last result).
  - Trends improved sequentially across the quarter. July the worst, August got better, and September got further better, but still down vs. pcp.
  - Gaming spends per player held up, but visitation remained weak.

- 92% occupancy vs. 97% last year. City wide impacts. Stronger Q4 booking pace due to group business.
- Premium players on the centre of the Strip held strong. Trends were weaker as you move further out.

- Regional
  - Solid overall and expect further growth going forward.
  - Noted the down numbers in September but believe you need to combine with August to smooth the timing of the Labor Day weekend. Only down market in September was Atlantic City.
  - Continued strength in rated play.
  - Strategic investment in customer database & rewards has generated positive returns.
  - Will avoid entering into a promotional war but have lifted promo spend in response to the market.

MGM Resorts

Macro Trends:

- Las Vegas
  - Overall believe things have somewhat stabilised. Trends improved sequentially since July.
  - Premium venues on the strip have been more robust. Non-strip venues have seen soft mid-week numbers.
  - Visitations remain weak, particularly from Canada, Southern California drive traffic, and the recent Spirit Airlines bankruptcy that resulted in several cancelled routes.
  - Responded to guest feedback around price concerns and saw an immediate increase in bookings.
  - Seeing better group demand in November & December & improving room rates.
  - Conventions look strong for 2026. 1H26 will be >20% convention mix.
- Regional
  - Seeing some increase in promotions across the market. Have responded accordingly to protect VIP customers.

US Expansions:

- Withdrew its application for a commercial casino licence in New York earlier this month.
  - Thought it would be a 30-year licence but were later told it would be 15.
  - The proposal was for a $2.3bn investment.

Red Rock Resorts

Macro Trends:

- Strength in carded play.
- Robust visitation amongst local players.
- 4Q trends are seeing continued stability.

Tax Bill Changes:

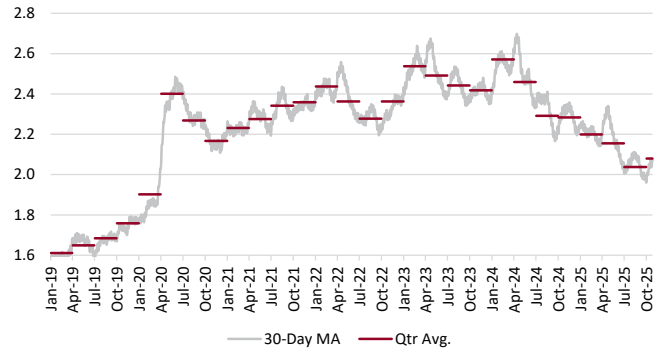
- Doing lots of expansions which have a varying amount of accelerated depreciation available.
  - Four separate properties that range between 10%-100%.

Social Casino Trends

Social Casino revenue on the Apple & Google platforms appears to be in decline.

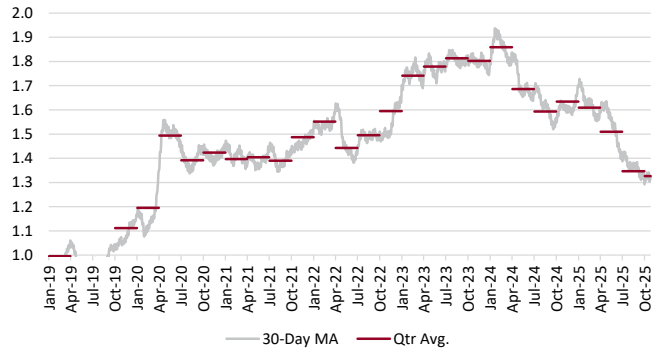
- We believe the charts below understates the actual performance given the data excludes DTC platforms which are gaining share.
  - At their result in August, LNW stated that they expect to reach FY28 DTC target of 30% ahead of time.
  - Playtika is the current leader in DTC migration. They note that their own internal proprietary platforms have a COGS of typically 3% to 4% processing fees & other platform-related expenses vs. the 30% platform fee for Apple & Google
- We also believe that sweepstakes have cannibalised the industry.
  - Playstudios have mentioned that they away from social casino investment towards developing their own sweepstakes product.
  - However, there has been positive momentum towards regulation in multiple states including New York & California.

Exhibit 33 - Pixel United Social Casino Slots - Average Revenue per Day (US$m) - Apple & Google Platforms



Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels. Apps include: Heart of Vegas, Big Fish Casino, Cashman Casino, Lightning Link, Jackpot Magic Slots & Mighty Fu Casino Slots.

Exhibit 34 - SciPlay Social Casino Slots - Average Revenue per Day (US$m) - Apple & Google Platforms



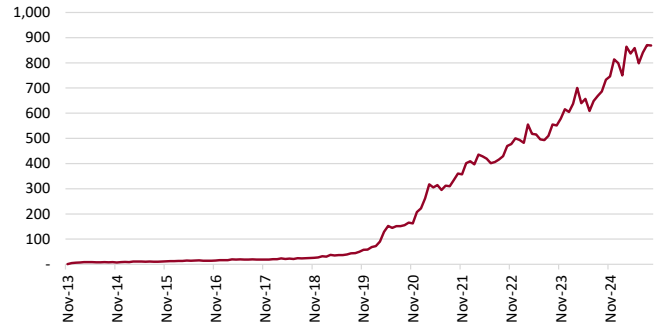
Source: AppMagic, E&P Estimates. Note: excludes non-mobile channels. Apps include: Heart of Vegas, Big Fish Casino, Cashman Casino, Lightning Link, Jackpot Magic Slots & Mighty Fu Casino Slots.

iGaming Trends

Online Casino is still growing despite no new major states launching.

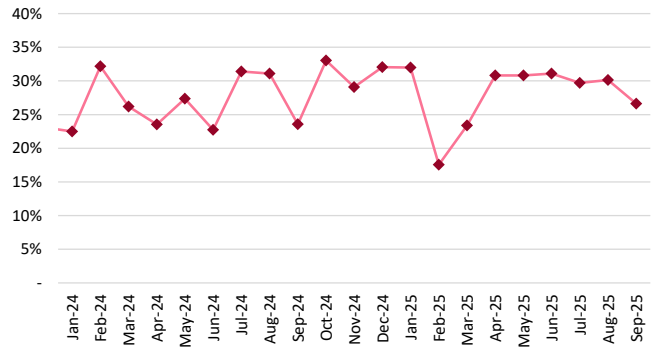
- However, YoY growth did moderate slightly below +30% after a consistent 5-months stretch.

Exhibit 35 - US Online Casino GGR (US$m)



Source: Eilers & Krejcik, various state gaming bodies, E&P Estimates

Exhibit 36 - US Online Casino Growth (yoy)



Source: Eilers & Krejcik, various state gaming bodies, E&P Estimates

Changes to Forecasts

Aristocrat

We have made the following changes to our overall forecasts for Aristocrat.

- Minor Downgrades to NA Gaming ops due to the slow-down of Phoenix Link in the latest quarter.
- Increase in near-term Australian Outright Sales Units & ASP due to strong market share performance driven by the Baron Cabinet.
- Decrease in near-term Rest of World Outright Sales.
- Minor downgrade in Social Casino Bookings offset by greater DTC penetration.
- Minor downgrade to near-term Interactive Content revenue.
- Increase to medium-term iLottery revenue to reflect recently announced deals.
- Increased near-term Buyback.

Our valuation has declined -1.3% to $73.46, and we retain our Positive recommendation

Light & Wonder

- Increase near-term NA Outright Sales.
- Minor downgrade to 3Q International Outright Sales offset by an increase in 4Q.
- Reallocated more of the buyback to be on the week of the NASDAQ delisting day.
- Factored in a materially higher fine due to the elevated risk from the Dragon Train Litigation
- Increased our Cost of Equity to account for the litigation risk and leverage.

Our valuation has declined -35.3% to $163, primarily due to the ongoing Dragon Train litigation. We believe the recent judges ruling and other ongoing disputes have increased the downside risk. Our current long-term forecasts remain ahead of consensus estimates given the strong industry feedback we continue to receive.

		FY25E	FY26E	FY27E
Revenue	**New**	**6,173.3**	**6,545.5**	**7,137.1**
	Old	6,255.4	6,627.3	7,195.0
	% change	-1.3%	-1.2%	-0.8%
EBITA	**New**	**2,162.9**	**2,399.9**	**2,708.5**
	Old	2,191.0	2,413.9	2,706.1
	% change	-1.3%	-0.6%	+0.1%
NPATA	**New**	**1,519.8**	**1,714.4**	**1,979.8**
	Old	1,536.5	1,723.9	1,978.2
	% change	-1.1%	-0.6%	+0.1%
Valuation	**New**	**$73.46**		
	Old	$74.45		
	Change %	-1.3%		

		FY25E	FY26E	FY27E
Revenue	**New**	**3,359.6**	**3,674.7**	**3,952.8**
	Old	3,339.8	3,681.3	3,959.8
	% Change	+0.6%	-0.2%	-0.2%
AEBITDA	**New**	**1,435.8**	**1,611.7**	**1,785.4**
	Old	1,426.1	1,616.2	1,790.2
	% Change	+0.7%	-0.3%	-0.3%
NPATA	**New**	**566.1**	**709.9**	**804.1**
	Old	562.7	720.1	810.3
	% Change	+0.6%	-1.4%	-0.8%
Valuation	**New**	**$163**		
	Old	$252		
	% Change	-35.3%		

Our Forecasts vs Consensus

Aristocrat

We sit only marginally below consensus estimates across all major line items, largely due to the Interactive segment.

Our ALL financial forecasts for FY25 vs Visible Alpha consensus are as follows:

Revenue: E&Pe $6,173m, VA Consensus $6,239m (-1.1%)

EBITA: E&Pe $2,163m, VA Consensus $2,182m (-0.9%)

NPATA: E&Pe $1,519m, VA Consensus $1,540m (-1.3%)

Light & Wonder

We sit only marginally below consensus revenue estimates which is offset by higher AEBITDA margin assumptions.

Our LNW financial forecasts for 3Q25 vs Visible Alpha consensus are as follows (USD):

Revenue: E&Pe $840m, VA Consensus $850m (-0.6%)

AEBITDA: E&Pe $362m, VA Consensus $359m (+0.8%)

NPATA: E&Pe $137m, VA Consensus $139m (-1.6%)

FINANCIAL SUMMARY

Aristocrat Leisure Ltd				ALL-ASX			
As at:	05/11/2025			Recommendation:	Positive	Share Price:	AUD63.05

Year end	Sep	2024E	2025E	2026E	2027E
INCOME STATEMENT					
Total Operating Income/Revenue		5,673.4	6,173.3	6,545.5	7,137.1
EBITDA		2,274.4	2,551.3	2,792.6	3,116.3
D&A		(442.5)	(560.4)	(562.6)	(577.6)
EBIT		1,831.9	1,990.8	2,230.0	2,538.7
Net Interest Expense		(60.0)	(90.3)	(60.7)	(39.9)
PBT		1,572.3	1,763.9	2,169.3	2,498.8
Tax expense		(423.2)	(531.2)	(585.7)	(649.7)
NPAT attributable to s'hers		**1,149.1**	**1,232.8**	**1,583.6**	**1,849.1**
Adjusted Net Profit		1,149.1	1,232.8	1,583.6	1,849.1
Year end	**Sep**	**2024E**	**2025E**	**2026E**	**2027E**
BALANCE SHEET					
Assets					
Cash		943.8	1,663.0	2,143.4	2,737.4
Current Receivables		1,089.9	1,114.9	1,190.1	1,295.4
Inventories		277.8	252.5	262.5	282.1
Other Current Assets		114.7	121.4	121.4	121.4
Total Current Assets		2,426.2	3,151.8	3,717.5	4,436.2
Property Plant & Equipment		575	633	667	714
Intangibles		5,346.8	5,185.4	5,057.6	4,975.6
Other Non-Current Assets		312.9	306.5	306.5	306.5
Total Non-Current Assets		7,877.2	7,963.6	7,869.2	7,834.7
Total Assets (BS)		10,303.4	11,115.3	11,586.7	12,270.9
Liabilities					
Short Term Debt		92.8	104.8	104.8	104.8
Current Accounts Payable		987.1	852.8	885.6	952.0
Total Current liabilities		1,578.2	1,733.3	1,782.8	1,872.5
Long Term Debt		1,990.8	1,753.3	1,753.3	1,753.3
Other Non-Current Liabilities		296.7	303.8	303.8	303.8
Total Non-Current Liabilities		2,445.3	2,196.9	2,196.9	2,196.9
Total Liabilities		4,024	3,930	3,980	4,069
Total Shareholders' Equity		6,279.9	7,185.1	7,607.0	8,201.6
Net Assets		6,279.9	7,185.1	7,607.0	8,201.6
Book Value		6,279.9	7,185.1	7,607.0	8,201.6
Year end	**Sep**	**2024E**	**2025E**	**2026E**	**2027E**
OPERATING CASH FLOWS					
EBITDA		2,366.4	2,344.4	2,792.6	3,116.3
Change in Working Capital		0.0	196.0	(35.8)	(35.1)
Other Operating Cashflow		5.1	49.8	0.0	0.0
Gross Operating Cash Flow		**2,371.5**	**2,590.2**	**2,756.8**	**3,081.2**
Net interest paid		(52.7)	(82.4)	(60.7)	(39.9)
Tax Paid		(553.6)	(540.4)	(585.7)	(649.7)
Net Operating Cash Flows		**1,765.2**	**1,967.5**	**2,110.4**	**2,391.5**
Investing Cash Flows					
Purchase of PP&E		(494.1)	(469.7)	(498.1)	(543.1)
Other Investing Cashflows		6.0	(2,000.0)	0.0	0.0
Total Investing CashFlow		**(2,007.2)**	**(1,588.9)**	**(468.2)**	**(543.1)**

Source: Company data, E&P estimates

Year end	Sep	2024E	2025E	2026E	2027E
FINANCING CASH FLOWS					
Proceeds from Borrowings		(100.4)	(454.3)	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(837.4)	(719.7)	(600.0)	(600.0)
Distributions		(447.7)	(539.5)	(561.8)	(654.5)
Total Financing Cash Flow		**(1,866.1)**	**(1,738.1)**	**(1,161.8)**	**(1,254.5)**
Net Change in Cash		(2,207.2)	(1,280.8)	480.4	594.0
Free Cashflow		1,271.1	1,497.7	1,612.3	1,848.5
Year end	**Sep**	**2024E**	**2025E**	**2026E**	**2027E**
PER SHARE DATA					
EPS - Adjusted (cents)		182.0	198.2	258.7	306.3
DPS (cents)		78.0	88.1	91.1	107.7
Cash Flow Per Share (cents/share)		201.3	240.8	263.3	306.2
Book Value ($/sh)		997.8	1,161.4	1,246.8	1,363.5
Year end	**Sep**	**2024E**	**2025E**	**2026E**	**2027E**
SEGMENTALS					
Gaming Revenue		3,628.6	3,865.5	4,137.9	4,430.1
Digital Revenue		1,709.1	1,776.3	1,737.0	1,742.0
Interactive Revenue		335.7	531.4	670.6	965.0
Segment Revenue		5,673.4	6,173.3	6,545.5	7,137.1
Gaming EBITA		2,021.6	2,139.6	2,315.1	2,503.1
Digital EBITA		699.8	773.4	816.9	871.3
Interactive EBITA		104.4	225.7	256.2	343.8
Segment EBITA		2,825.8	3,138.7	3,388.2	3,718.2
Year end	**Sep**	**2024E**	**2025E**	**2026E**	**2027E**
ANALYSIS					
EBITDA Margin (%)		40.1	41.3	42.7	43.7
EBIT Margin (%)		32.3	32.2	34.1	35.6
Net Profit Margin (%)		20.3	20.0	24.2	25.9
Capital Employed		7,419.7	7,380.3	7,321.7	7,322.3
Return on Capital Employed (%)		27.5	26.9	30.3	34.7
EBITDA/Capital Employed (%)		34.1	34.5	38.0	42.6
ROE %		**17.7**	**18.3**	**21.4**	**23.4**
Net Debt/Equity (%)		18.1	2.7	(3.8)	(10.7)
Net Debt/Net Debt & Equity (%)		15.4	2.6	(3.9)	(12.0)
Net Debt/EBITDA (x)		0.5	0.1	(0.1)	(0.3)
Net Interest Cover (x)		11.7	13.7	17.0	19.3
GOCF/EBITDA (%)		1.0	1.1	1.0	1.0
Total Capex/Sales (%)		35.5	(6.7)	7.2	7.6
Working Capital/Sales (%)		0.1	0.1	0.1	0.1
D&A/PP&E (%)		76.9	88.5	84.4	80.9
EV/EBITDA (x)		14.3	15.8	14.5	13.0

BLENDED VALUATION		
Valuation - DCF	73.46	100.0%
Valuation - Capitalisation of Earnings	0.00	0.0%
Valuation - PER	0.00	0.0%
Valuation - SOTP	0.00	
Valuation	AUD73.46	

Light and Wonder				LNW-ASX	
As at:	05/11/2025			Recommendation:	Positive

Year end	Dec	2024E	2025E	2026E	2027E
INCOME STATEMENT					
Total Operating Income/Revenue		3,188.0	3,359.6	3,674.7	3,952.8
EBITDA		1,245.0	1,435.8	1,611.7	1,785.4
D&A		(360.0)	(439.0)	(449.8)	(444.9)
EBIT		885.0	996.8	1,161.9	1,340.5
Net Interest Expense		(294.0)	(294.3)	(295.7)	(299.9)
PBT		591.0	702.5	866.2	1,040.7
Tax expense		(86.0)	(109.1)	76.7	(170.9)
Share of profits from associates		0.0	0.0	0.0	0.0
Minority Interest		0.0	0.0	0.0	0.0
NPAT attributable to s'hers		**336.0**	**380.5**	**(288.7)**	**643.0**
Normalisation Adjustments		169.0	212.9	1,231.6	226.8
Adjusted Net Profit		505.0	593.4	942.9	869.7
Year end	**Dec**	**2024E**	**2025E**	**2026E**	**2027E**
BALANCE SHEET					
Assets					
Cash		312.0	7.2	0.0	779.3
Current Receivables		585.0	736.6	746.5	803.5
Other Current Assets		134.0	141.0	314.6	143.7
Total Current Assets		1,031.0	884.8	1,061.1	1,726.6
Property Plant & Equipment		330	372	420	483
Intangibles		615.0	991.4	894.9	841.4
Other Non-Current Assets		397.0	440.0	440.0	440.0
Total Non-Current Assets		4,232.0	5,158.9	5,109.5	5,119.2
Total Assets (BS)		5,263.0	6,043.7	6,170.5	6,845.7
Liabilities					
Short Term Debt		3,870.0	4,856.0	4,856.0	4,856.0
Current Accounts Payable		216.0	282.5	284.0	298.6
Total Current liabilities		4,582.0	5,549.5	5,551.0	5,565.6
Other Non-Current Liabilities		203.0	273.0	273.0	273.0
Total Non-Current Liabilities		203.0	273.0	273.0	273.0
Total Liabilities		4,785	5,823	5,824	5,839
Total Shareholders' Equity		636.0	369.4	216.3	1,006.1
Net Assets		478.0	221.1	346.6	1,007.1
Net Tangible Assets		(2,869.0)	(3,977.0)	(4,033.5)	(3,190.4)
Book Value		636.0	369.4	216.3	1,006.1
Year end	**Dec**	**2024E**	**2025E**	**2026E**	**2027E**
OPERATING CASH FLOWS					
EBITDA		747.0	1,174.8	1,611.7	1,785.4
Change in Working Capital		(76.0)	(171.3)	(9.4)	(52.2)
Other Operating Cashflow		13.0	(50.0)	(1,096.0)	(80.0)
Gross Operating Cash Flow		**684.0**	**953.5**	**506.3**	**1,653.2**
Net interest paid		(71.0)	(149.3)	(295.7)	(299.9)
Tax Paid		(64.0)	(57.1)	(96.9)	0.0
Net Operating Cash Flows		**549.0**	**747.1**	**113.7**	**1,353.4**
Investing Cash Flows					
Purchase of PP&E		(293.0)	(298.9)	(400.4)	(454.6)
Other Investing Cashflows		35.0	(861.0)	0.0	0.0
Total Investing CashFlow		**(258.0)**	**(1,159.9)**	**(400.4)**	**(454.6)**

Source: Company data, E&P estimates

Share Price:	AUD116.00

Year end	Dec	2024E	2025E	2026E	2027E
FINANCING CASH FLOWS					
Proceeds from Borrowings		(11.0)	982.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(515.0)	(905.0)	0.0	0.0
Total Financing Cash Flow		**(577.0)**	**60.0**	**0.0**	**0.0**
Net Change in Cash		(286.0)	(352.8)	(286.6)	898.8
Free Cashflow		256.0	448.2	(286.6)	898.8
Year end	**Dec**	**2024E**	**2025E**	**2026E**	**2027E**
PER SHARE DATA					
EPS - Adjusted (cents)		573.9	758.4	1,184.4	1,073.8
Cash Flow Per Share (cents/share)		290.9	572.8	(360.0)	1,109.7
Book Value ($/sh)		722.7	472.1	271.7	1,242.1
NTA Per Share ($/sh)		(3,260.2)	(5,083.2)	(5,066.2)	(3,939.0)
Year end	**Dec**	**2024E**	**2025E**	**2026E**	**2027E**
ANALYSIS					
EBITDA Margin (%)		39.1	42.7	43.9	45.2
EBIT Margin (%)		27.8	29.7	31.6	33.9
Net Profit Margin (%)		15.8	17.7	25.7	22.0
Capital Employed		4,036.0	5,070.0	5,202.6	5,083.8
Return on Capital Employed (%)		22.2	21.9	22.6	26.1
EBITDA/Capital Employed (%)		31.2	31.5	31.4	34.7
ROE %		**72.1**	**118.0**	**322.0**	**142.3**
Net Debt/Equity (%)		559.4	1,312.7	2,244.9	405.2
Net Debt/Net Debt & Equity (%)		84.8	92.9	95.7	80.2
Net Debt/EBITDA (x)		2.9	3.4	3.0	2.3
Net Interest Cover (x)		3.0	3.4	3.9	4.5
GOCF/EBITDA (%)		0.9	0.8	0.3	0.9
Total Capex/Sales (%)		9.2	8.9	10.9	11.5
Working Capital/Sales (%)		0.1	0.1	0.1	0.1
D&A/PP&E (%)		109.1	117.8	107.2	92.2
EV/EBITDA (x)		12.3	10.6	9.6	8.3

BLENDED VALUATION		
Valuation - DCF	163.00	0.0%
Valuation - Capitalisation of Earnings	0.00	0.0%
Valuation - PER	163.00	1.0%
Valuation - SOTP	0.00	
Valuation	AUD163.00	

RESEARCH RECOMMENDATION DEFINITIONS

Positive	Stock is expected to outperform the S&P/ASX 200 over the coming 24 months.
Neutral	Stock expected to perform in line with the S&P/ASX 200 over the coming 24 months.
Negative	Stock is expected to underperform the S&P/ASX 200 over the coming 24 months.
Speculative Buy	Stock has limited history from which to derive a fundamental investment view or its prospects are highly dependent on event risk, e.g. Successful exploration, scientific breakthrough, high commodity prices, regulatory change, etc. Consequently, the stock is considered a high-risk investment which may be prone to high volatility in share price movements, have a greater risk of capital loss and/or the stock may have low liquidity.
Suspended	Stock is temporarily suspended due to compliance with applicable regulatory and/or E&P policies in circumstances where E&P is acting in an advisory capacity.
Not Rated	Stock is not included in our investment research universe.

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Recommendations are primarily determined with reference to how a stock ranks relative to the S&P/ASX 200 on the following criteria:

Valuation	Composite of Rolling 12-month prospective multiples and discounted cash flow (DCF), or DCF for resource stocks.
Earnings Outlook	Forecast 2-year EPS growth.
Earnings Momentum	Percentage change in the current consensus EPS estimate for the stock (rolling 1-year forward basis) over the consensus EPS estimate for the stock 3 months ago.
Shareholder Returns	Composite of forecast ROE (rolling 1-year forward basis) and the percentage change in ROE over 2 years.
Debt Servicing Capacity	Rolling 12-month EBIT Interest Cover ratio.
Cyclical Risk	Qualitative assessment of the 2-year outlook for a stock/industry's profit cycle.
Industry Quality	Qualitative assessment of an industry's growth/returns potential and company specific management capability.
Financial Transparency	If we don't understand it, we won't recommend it.

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